

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: September 07, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-09-07

BUY

Composite · Valuation: BUY

Target \$1722.14 · +49.8% upside

Price \$1149.36

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$1722.14 (+49.8% vs \$1149.36); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$1722.14	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +59%	15%
Composite	BUY	Score +0.57 · 75% confluence	—

Valuation + technical aligned bullish.

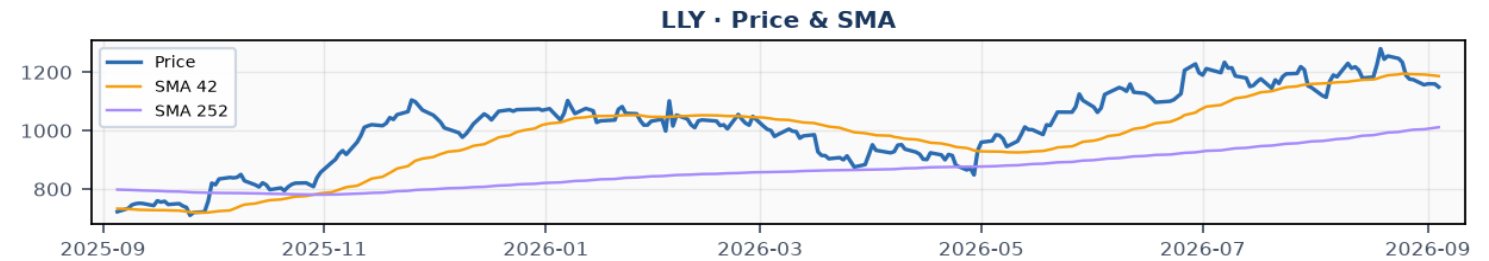
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **BUY** rating; blended target \$1722.14. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.02T	Shares Out.	891.4M
52-Week Range	\$712.05 – \$1292.65	P/E (TTM)	38.6x
P/B	30.2x	Beta	0.50
Avg Volume	2.83M	Analyst Rec.	Buy
Revenue (TTM)	\$79.67B	Rev Growth	+47.7%
Op. Margin	54.2%	FCF (TTM)	\$5.96B
Gross Margin	83.4%	ROE	1.0%
EV/EBITDA	25.7x	Debt/Equity	162.1%
EPS (TTM)	\$29.77	Div Yield	60.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Eli Lilly and Company (LLY) · Financials · Valuation · Peers · Q4 FY2025 · 2026-09-07

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	96,269	129,136	160,965
Revenue Growth (%)	N/A	44.7%	47.7%	34.1%	24.6%
Net Income (\$M)	10,590	20,640	30,485	40,893	50,972
Gross Margin (%)	81.3%	83.0%	83.4%	83.4%	83.4%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS (\$)	11.88	23.16	34.20	45.88	57.18
P/E (x)	96.74	49.64	33.61	25.05	20.10

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$1186.59	Short-term trend	12m Momentum	+59.0%	
SMA (252d)	\$1011.54	Long-term trend	3m Momentum	+0.2%	
RSI (14d)	43.4	Momentum oscillator	Ann. Volatility	32.9%	
Trend	Bullish		Sharpe Ratio	0.99	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+289.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$1186.59, SMA252=\$1011.54	Quant Score	+0.65	POSITIVE
			SMA Backtest (ann.)	30.5%	B&H; 40.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$221.57	-80.7%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d...
Comps — Blended	\$1823.79	+58.7%	80%	Included in blend
Analyst consensus	\$1315.56	+14.5%	20%	Included in blend
Blended target	\$1722.14	+49.8%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	1.50%	16.70%	\$197.50B	\$221.57	-80.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$370.89B	120.3x	14.5x	4.8%	+5.1%
ABBV	AbbVie Inc.	\$453.19B	72.4x	16.8x	9.8%	+10.2%
PFE	Pfizer, Inc.	\$162.16B	37.4x	8.4x	6.8%	+2.6%
JNJ	Johnson & Johnson	\$663.28B	32.0x	19.8x	21.5%	+6.6%
LLY*	Eli Lilly and Company	\$1.02T	38.6x	25.7x	33.5%	+47.7%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (47.7% YoY); High operating leverage (54.2% margin); Defensive profile (β=0.50) · Risks: Elevated leverage (D/E: 162%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.